

earnings, dividends, and short-term profits can all be taxed at different percentages.

4. Rebates

The rebate component is a new transaction cost component that is the byproduct of the new market environment (see Chapter 2). Trading venues charge a usage fee using a straight commission fee structure, a maker-taker model, or a taker-maker (inverted) model. In a straight commission model, both parties are charged a fee for usage of the system. In the maker-taker model, the investor who posts liquidity is provided with a rebate and the investor who takes liquidity is charged a fee. In an inverted or taker-maker model, the investor posting liquidity is charged a fee and the investor who takes liquidity is provided with a rebate. In both cases the fee charged will be higher than the rebate provided to ensure that the trading venue will earn a profit. Brokers may or may not pass this component onto their clients. In the cases when it does not pass through the component the broker will pay the fee or collect the rebate for their own profit pool. The commission rate charged to investors in these cases is likely to already have this fee and/or rebate embedded in its amount.

Since the fee amount or rebate collected is based on the trading venue and whether the algorithm posts or takes liquidity, the selection of trading venue and smart router order logic could be influenced based on the net incremental cost or rebate for the broker rather than the investor. Many questions arise (and rightly so) as to whether or not the broker is really placing orders correctly based on the needs of their investor or are looking to capture and profit from the rebates themselves. Analysts are highly encouraged to inquire about and challenge the logic of rebate-fee payment streams generated by various types of trading algorithms and smart routers in order to confirm the logic is in their best interest.

5. Spreads

The spread is the difference between best offer (ask) and best bid price. It is intended to compensate market makers for the risks associated with acquiring and holding an inventory while waiting to offset the position in the market. This cost component is also intended to compensate for the risk potential of adverse selection or transactions with an informed investor (i.e., acquirement of toxic order flow). Spreads represent the round-trip cost of transacting for small orders (e.g., 100 share lots) but do not accurately represent the round-trip cost of transacting blocks (e.g., 10,000 + shares).